Self study questions – solutions

Financing companies

1 C
2 B
3 C
4 A

5 The company must weigh up the advantages and disadvantages of these two long-term forms of finance.

Advantages of debt	Disadvantages of debt
Debt tends to be cheaper than equity. This is because interest is an allowable expense for tax purposes, whereas dividends are not. Also, often the debt is secured over assets of the company, and interest payments are guaranteed making it a lower risk investment for the lender.	Interest must be paid, unlike dividend. Failure to pay could result in the company being wound up.
Debt is more flexible than equity, as it can be repaid or re-borrowed as needed.	The company must repay the debt when it becomes due. Again, failure to do so could result in the company being wound up.
The company will not give up any control over the running of the company when debt is issued, and the shareholders do not suffer any dilution in their shareholdings.	It may not be possible to borrow if the company is considered too highly geared.

Advantages of equity	Disadvantages of equity
Share capital does not have to be repaid.	Issuing new shares will dilute the control of current shareholders (unless the company makes a rights issue).
The company does not have to pay dividends.	The cost of making a new share issue is expensive.
	Equity tends to be more expensive than debt as it is considered more risky.

Other factors to assess
How profitable is the company, and how easily can it make interest and capital payments?
Has the company recently raised finance, and if so, what type?
What are current and anticipated interest rates?

What is the state of the stock market? If prices are rising, it will be easier to issue shares.

6 The purchase of vans would require medium term finance - hire purchase, leasing or bank loan.

Hire purchase - deposit required, may be expensive, ownership will not pass until final payment, interest only shown in profit and loss.

Leasing - two types: operating and financial, ownership never passes, operating lease risk of ownership remains with owner, financial lease most of ownership risk with lessee.

Bank loan - ownership passes immediately, sum paid into current account gives purchasing power (can negotiate discount with garage, may not need deposit).

The final decision depends on interest rates offered and also on the company's balance sheet. If it cannot offer security or it is already highly geared then HP or leasing provides the lender with an adequate security against the asset itself.

7 **Marketability**
By having more, lower priced shares, the marketability is improved.

Something for nothing
Shareholders might like the idea of being given extra shares free of charge.

Past profitability
Scrip issues can take place only if there are sufficient reserves to be capitalised. This means that scrip issues tend to be associated with successful companies that have built up large reserves from retained profits.

Future confidence
The minimum price at which a rights issue can occur is the par value of the shares. Yet rights issues must occur at a discount. Therefore, a rights issue is only possible if the current share price is above the par value of the shares. A scrip issue reduces the price of a share. Therefore, having a scrip issue may reduce a company s ability to have a future rights issue if its share price declined following the scrip issue. So, if the directors decide to have a scrip issue, they must be confident about the company s future prospects.

Increased dividends
Some companies have a habit of having light scrip issues (e.g. 1 for 10) and subsequently keeping the same dividend per share. In these cases, a scrip issue may lead to, or be a sign of, higher dividends.

More reasonable rate of dividend
If dividends are expressed as a percentage of the nominal value the figure may seem excessive. This could cause public relations problems, or problems with employees who feel that dividends are too high. This could be avoided by a scrip issue.

8 Reasons for obtaining a stock market quotation:

- **To raise capital for the company:** obtaining a quotation allows the company to sell new shares to a wide market and thus raise large sums of money as cheaply as possible. The vast majority of companies choose a method of obtaining a quotation which simultaneously raises new funds.

- **To make it easier for the company to raise further capital**: once a company has a quotation, it will be easier for it to sell new shares in the future. In addition, providers of debt finance will be happier to lend money to a quoted company because they will feel safer in the knowledge that the company has to meet the Stock Exchange's on-going quotation requirements.

- **To give existing shareholders an exit route:** For example, specialist providers of equity capital to small unquoted businesses (known as venture capitalists) usually want to realise their investments after a few years. A quotation provides an exit route for venture capital investment (often referred to as "private equity").

- **To make the shares more marketable and easy to value:** the fact that shares can be easily valued helps with certain tax calculations. Because the shares are more marketable and more easily valued, shareholders will find the shares more useful as backing for their own borrowing. Quoted companies often use their own shares to offer to the target company's shareholders in a takeover bid. Quoted shares are much more effective for this purpose. Some companies offer employee share schemes to help motivate their staff. Such schemes will be more attractive if the shares are quoted.